



FHA \$100 HUD Repo

Refer to the [State Eligibility](#) section for eligible areas.

PRIMARY RESIDENCE – PURCHASE				
Property Type	Maximum LTV	Maximum Loan Amount	Minimum Credit Score	Underwriting Engine & Required Response
1 to 2-Unit PUD Condo	100% ¹ (minus \$100)	Varies by County	580	FHA Total Mortgage Scorecard DU – <i>Approve</i> or LPA – <i>Accept</i> Refer responses will be manually underwritten

1. LTV may exceed 100% only to fund a repair escrow included in the sales contract. The cost of repairs may not exceed \$10,000 (repair escrow may be up to \$11,000 after 10% contingency is added). DE Customers: Refer to the [Escrow Holdbacks](#) section of the [FHA Underwriting Guidelines](#) for more information about escrow holdback requirements.

PROGRAM SUMMARY

The FHA \$100 HUD Repo program is a purchase-money loan offered in limited geographic areas to borrowers purchasing a home owned by the Department of Housing and Urban Development. Buyers are only required to make a \$100 down payment and may be eligible for sales incentives provided by HUD.

PRODUCTS OFFERED

FIXED-RATE MORTGAGES

Traditional and jumbo loan amounts are separated into distinct products:

- 10-year
- 15-year
- 20-year
- 25-year
- 30-year

ADJUSTABLE-RATE MORTGAGES

Traditional and jumbo loan amounts are combined into the same product:

- 5/1 CMT

ELIGIBLE BORROWERS

- U. S. citizens and permanent resident aliens
- Non-permanent resident aliens may qualify (refer to the applicable HUD Handbook)
- Non-occupant co-borrowers:
 - Purchase transactions are limited to 75% LTV, when secured by a 2-unit property

ELIGIBLE PROPERTY TYPES

203(B) LOANS

- 1 to 2-unit property
- Planned unit development

234(C) LOANS

- Condominium (prior approval by FHA Field Office is required)

INELIGIBLE PROPERTY TYPES

- 3 to 4-unit property
- Manufactured home
- Cooperative
- Working farm, ranch or orchard

LOAN AMOUNTSMINIMUM

None

MAXIMUM

Maximum loan amount varies by county. Refer to the [FHA Connection](#) website to determine the geographic mortgage limits.

All loans require borrowers to make a \$100 down payment. The standard FHA policy requiring that borrowers make a 3.5% investment is not required for the FHA \$100 HUD Repo program.

TEMPORARY BUYDOWNS

Not eligible

SUBORDINATE FINANCING

Refer to the *Subordinate Financing* section of the [FHA Underwriting Guidelines](#) for details.

CREDIT ALERT INTERACTIVE VOICE RESPONSE SYSTEM (CAIVRS)

All borrowers must be screened using the Credit Alert Interactive Voice Response System (CAIVRS) (except on streamline refinances). FHA will not insure a loan if the borrower is currently delinquent on any unpaid federal debt, or has had a claim paid within the previous three years. Prior to accessing CAIVRS you will need each applicant's Social Security Number. CAIVRS must be accessed through [FHA Connection](#). This is a web-based system that requires prior approval through HUD.

QUALIFYING RATE

Note rate

QUALIFYING RATIOS

Refer to the Ratios section of our [FHA Underwriting Guidelines](#).

SUBMISSION DOCUMENTATION

Refer to the *New Submission Coversheet – Government*, [Doc. #3218](#) for details.

FORMS AND DISCLOSURES

Refer to *Government Forms and Disclosures*, [Doc. #9005](#) for details.

APPRAISAL GUIDELINES

The appraisal must comply with all of FHA's minimum property standards. Refer to the *Appraisal* section of our [FHA Underwriting Guidelines](#).

UNDERWRITING

For underwriting questions and underwriting support please contact Government Customer Support by calling (866) 945-9872 or via email at governmentuw@flagstar.com.

All loan applications will be underwritten to FHA's Total Mortgage Scorecard and Flagstar current guidelines. Refer to [HUD Handbook 4000.1](#) and the [FHA Underwriting Guidelines](#) for Government Guidelines.

Borrowers may not receive any cash back at loan closing. The sales allowance and contributions received, if any, can only be used toward closing costs/prepaid expenses, repairs to the property or to reduce the mortgage amount.

If the real estate agent writes the sales contract as a 203(b) with a repair escrow then the entire repair value up to \$10,000 (plus a 10% contingency for a total of up to \$11,000) can be included in the loan amount and escrowed.

CREDIT SCORES

- Non-traditional, alternative credit and no credit score loans are now eligible and will follow the [FHA Handbook 4000.1](#)
- Loans for borrowers with non-traditional credit are permissible; a credit score of 999 should be entered for those borrowers.

ADP CODES

- 734 – 234(c) Condo Fixed-Rate
- 731 – 234(c) Condo ARM

MORTGAGE INSURANCE

Upfront and monthly mortgage insurance premiums will be calculated according to the policies outlined in [HUD Handbook 4000.1](#).

STATE ELIGIBILITY

HUD's \$100 down payment option has been discontinued in many states. To determine if the \$100 down program is available for a particular property see HUD's REO sales web site at <https://www.hudhomestore.com/Home/Index.aspx>. The property listing on the web site will show that the \$100 down payment incentive is offered on the selected property, and the purchase agreement or an addendum to the agreement must state the \$100 down payment incentive is offered in conjunction with FHA financing.

State	Restriction
Puerto Rico	Not eligible

ADJUSTABLE RATE DETAILS

Interest Rate Adjustment Caps	5/1 ARMs: Initial: 1% up/down; Periodic: 1% up/down; Lifetime: 5% up
Margin	See Price Indication Sheet
Index	1-year Constant Maturity Treasury (CMT)
Interest Rate Floor	The interest rate floor is equal to the Margin
Change Dates	5/1 ARM: Initial interest rate change date will occur within 60 to 66 months, depending on the first payment date. See table below. Interest rate will adjust every 12 months thereafter.



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Conversion Option	None
Assumption	Subject to conditions, fees and rate adjustment
Negative Amortization	None

Initial Interest Rate Change Dates ²	
First Payment Date	Initial Change Date ³
Jan. 1, Feb. 1, Mar. 1	April 1
Apr. 1, May 1, Jun. 1	July 1
Jul. 1, Aug. 1, Sep. 1	October 1
Oct. 1, Nov. 1, Dec. 1	January 1

- 2. The initial interest rate change dates are also published on the daily price indication sheet.
- 3. The change date is always the first day of the month.

CLOSING DOCUMENTATION

Closing documents may be ordered through Flagstar's Web-Based Closing Docs (WBCD) service available on Loantrac. Please call (866) 945-9872 for questions pertaining to drawing Web-Based Closing Docs.